

NET WORTH	\$400,000	\$500,000
Gross income at 8%	\$ 32,000	\$ 40,000
Less taxes	3,850	5,280
Net income	28,150	34,720
Less inflation	10,000	12,500
Spendable income	\$ 18,150	\$ 22,220

Gross income is the 8 percent interest rate times \$400,000 or \$500,000. Similarly, inflation is the 2.5 percent inflation rate times \$400,000 or \$500,000. The resulting inflation amount maintains capital against loss of purchasing power. Taxes are based on the 1988 federal tax rates as set by the 1986 Tax Reform Act. State taxes are assumed to be 10 percent of federal taxes, after you move to a low-cost state (see chapter 5).

With \$400,000 of net worth you pay \$3,850 in taxes, set aside \$10,000 to keep your capital intact, and spend up to \$18,150. With \$500,000 you can spend up to \$22,220. You need only \$18,000 to live under the \$50-a-Day Rule. With \$400,000, you have about \$18,000; with \$500,000 you have money to spare.

Look at what you're paying in income taxes: \$3,850 or \$5,280, depending on your net worth. That's less than you've paid in decades. You've finally hit on life's best tax shelter: stop working. That eliminates earned income. Your income tax plummets and you pay no Social Security taxes at all. In 1987, self-employed Social Security taxes came to \$5,387 for high earners. That's more than your *total* income tax after retirement. And you'll still collect Social Security benefits when you reach age 62. After paying for ten years you're fully vested.

In the example above, real rates were only 5.5 percent. That's quite low by historical standards during the post-deregulation era. There's more money to spend if we return to the days of higher inflation and higher real rates. The